RESOLUTION NO. 7116

Budget Committee Approval of the 2025-26 Budget and the Imposition of Property Taxes

RECITALS

A. Oregon Local Budget Law, Oregon Revised Statute (ORS) 294.426, requires the Budget Committee of Portland Public Schools (District) to hold one or more meetings to receive the budget message and the budget document and to provide members of the public with an opportunity to ask questions about and comment upon the budget document.

B. On April 22, 2025, the Board of Education (Board), acting as the Budget Committee, received the Superintendent's budget message and Proposed Budget document for the 2025-26 fiscal year.

C. On April 29, 2025, the Budget Committee held a Budget Community Engagement meeting to discuss and receive public comment on the Proposed Budget.

D. ORS 294.431, requires submission of the budget document to the Tax Supervising Conservation Commission (TSCC) by May 15 of each year. ORS 294.431 allows taxing jurisdictions to request an extension of the submission date.

E. The District requested, and the TSCC authorized, extending the submission date to no later than May 21, 2025.

F. The Board-appointed Community Budget Review Committee (CBRC) reviewed the Proposed Budget and current expenditures of the existing Local Option Levy. The CBRC acts in an advisory capacity to the Board.

G. On May 6, 2025, the Budget Committee received a report on the current year Local Option Levy expenditures and testimony and recommendations from the CBRC.

H. ORS 294.428 requires that each legal jurisdiction's Budget Committee approve a budget and specify the *ad valorem* property tax amount or rate for all funds.

I. It is noted that $0.5038 per $1,000 of the assessed value of the Permanent Rate Tax Levy (commonly known as the "Gap Tax") and, based on an analysis presented to the Board, the entirety of the Local Option Tax Rate Levy are excluded from State School Fund calculations.

J. ORS 457.445(6)(d) provides the opportunity for a school district with a statutory rate limit on July 1, 2003, that is greater than $4.50 per $1,000 of assessed value to be excluded from the urban renewal division of tax calculations. To the extent that the rate limit was increased under section 11 (5)(d), Article XI, of the Oregon Constitution, property tax revenue from said increase is excluded from local revenues. The District will notify the county assessors of the rate to be excluded for the current fiscal year no later than July 15.

K. Portland Public Schools has a statutory rate limit that is in excess of the $4.50 limitation that includes an increase under section 11 (5)(d), Article XI, of the Oregon Constitution.

RESOLUTION

1. The Budget Committee approves the budget as summarized in Attachment "A".

2. The Budget Committee approves the budget for the 2025-26 fiscal year in the total amount of $2,035,117,000.

3. The Budget Committee resolves that the District imposes the taxes provided for in the approved budget:

a. At the rate of $5.2781 per $1,000 of assessed value for operations;
b. At the rate of $1.9900 per $1,000 of assessed value for local option tax for operations;
c. In the amount of $181,000,000 for exempt bonds

Taxes are hereby imposed and categorized for the tax year 2025-26 upon the assessed value of all taxable property in the District, as follows:

Type	Education Limitation	Excluded from Limitation
Permanent Rate Tax Levy	$5.2781/$1,000 of assessed valuation	
Local Option Rate tax Levy	$1.9900/$1,000 of assessed valuation	
Bonded Debt Levy		$181,000,000

4. The Budget Committee further resolves that $0.5038 per $1,000 of taxable assessed value is excluded from the division of tax calculations, as the Permanent Rate Tax Levy attributable to the increase provided in section 11 (5)(d), Article XI, of the Oregon Constitution (such increase is a result of the expiring Gap Tax Levy).

5. The Budget Committee directs submission of the 2025-26 Approved Budget to the TSCC by May 21, 2025, in accordance with ORS 294.431, under the extension as granted by the TSCC.

Attachment A

Portland Public Schools

Adjustments to the 2025-26 Proposed Budget

May 19, 2025

(in thousands)

	Proposed Budget	Adjustment	Recommended Approved Budget
100 - General Funds			
Resources			
Beginning Fund Balance	45,000	-	45,000
Local Property and Other Taxes	359,464	-	359,464
Local Option Taxes	109,222	-	109,222
Other Local Sources	25,831	-	25,831
County and Intermediate Sources	7,847	-	7,847
State Sources	297,191	-	297,191
Federal Sources	15	-	15
Tranfers In	23,962	-	23,962
Other	50	-	50
Total	868,580	0	868,580
Requirements			
Instruction	458,417	-	458,417
Support Services	347,191	-	347,191
Enterprise and Community Svcs	4,617	-	4,617
Debt Service	0	-	0
Transfers of Funds	17,176	-	17,176
Contingency	41,179	-	41,179
Total	868,580	0	868,580
200 - Special Revenue Funds			
Resources			
Beginning Fund Balance	39,008	-	39,008
Property and Other Taxes	373	-	373
Other Revenue from Local Sources	15,497	-	15,497
Intermediate Sources	2,468	-	2,468
State Sources	95,383	-	95,383
Federal Sources	70,460	-	70,460
Interfund Transfers	1,616	-	1,616
All Other Resources	-	-	-
Total	224,805	0	224,805
Requirements			
Instruction	86,733	-	86,733
Support Services	77,509	-	77,509
Enterprise and Community Svcs	36,551	-	36,551
Facilities Acquisition and Construction	50	-	50
Transfer of Funds	23,962	-	23,962
Contingency	-	-	-
Unappropriated Ending Fund Balance	-	-	-
Total	224,805	0	224,805
300 - Debt Service Funds			
Resources			

Beginning Fund Balance	3,242	-	3,242
Property and Other Taxes	171,552	-	171,552
Other Revenue from Local Sources	97,277	-	97,277
Interfund Transfers	619	-	619
Total	272,690	0	272,690
Requirements			
Debt Service	272,690	-	272,690
Contingency	-	-	-
Unappropriated Ending Fund Balance	-	-	-
Total	272,690	0	272,690
400 - Capital Projects Funds			
Resources			
Beginning Fund Balance	514,705	-	514,705
Other Revenue from Local Sources	11,477	-	11,477
Intermediate Sources	-	-	-
State Sources	2,000	-	2,000
Bond Proceeds & Premiums	-	-	-
Interfund Transfers	1,000	-	1,000
All Other Resources	114,591	-	114,591
Total	643,773	0	643,773
Requirements			
Support Services	1,995	-	1,995
Enterprise and Community Svcs	1,301		1,301
Facilities Acquisition and Construction	639,859	-	639,859
Debt Service	0	-	0
Transfers of Funds	619	-	619
Total	643,773	0	643,773
600 - Internal Service Funds			
Resources			
Beginning Fund Balance	6,500	-	6,500
Other Revenue from Local Sources	4,209	-	4,209
Transfers of Funds	14,560	-	14,560
Total	25,269	0	25,269
Requirements			
Support Services	24,769	-	24,769
Contingency	500	-	500
Total	25,269	0	25,269
All Funds Total	2,035,117	0	2,035,117